MCQS

ECO404 midterm preparation file

ZB

بسم الله الرحمن الرحيم

In the name of God , Most Gracious, Most merciful

ECO404

MCQS

1. What is the definition of economics?

A) The study of scarcity and resource allocation

B) The study of the environment

C) The study of money

D) The study of governments

Answer: A

2. Which of the following is an example of a positive economic statement?

A) The government should increase education spending.

B) Unemployment is currently at 4%.

C) Inflation is bad for the economy.

D) The tax rate should be reduced.

Answer: B

3. What does the law of demand state?

A) As price increases, demand decreases.

B) As price decreases, demand decreases.

C) Price and demand are independent of each other.

D) As price increases, demand remains the same.

Answer: A

4. Which of the following is a non-price determinant of demand?

A) Price of substitutes

B) Price of the good itself

C) Consumer income

D) Consumer preferences

Answer: C

5. In the short run, a firm's supply curve is

A) Horizontal

B) Vertical

C) Upward sloping

D) Downward sloping

Answer: C

6. The elasticity of demand measures the responsiveness of

A) Price to changes in income

B) Quantity demanded to changes in price

C) Price to changes in quantity demanded

D) Income to changes in price

Answer: B

7. If a product has an elasticity of demand greater than 1, it is considered

A) Inelastic

B) Unit elastic

C) Elastic

D) Perfectly elastic

Answer: C

8. Which of the following is an example of a public good?

A) A sandwich

B) National defense

C) A private parking lot

D) A concert ticket

Answer: B

9. What is the opportunity cost of attending university?

A) The tuition fees paid

B) The time spent studying

C) The forgone income from not working

D) All of the above

Answer: D

10. Which of the following is a characteristic of a perfectly competitive market?

A) Few sellers

B) Barriers to entry

C) Homogeneous products

D) Product differentiation

Answer: C

11. The total cost is the sum of

A) Fixed cost and variable cost

B) Marginal cost and total revenue

C) Total revenue and profit

D) Average total cost and average variable cost

Answer: A

12. In the long run, firms in a perfectly competitive market will

A) Earn positive economic profits

B) Earn zero economic profits

C) Experience increasing costs

D) Face barriers to entry

Answer: B

13. Which of the following is true about monopolies?

A) Monopolies result in lower prices than competitive markets.

B) Monopolies are inefficient because they produce less and charge higher prices.

C) Monopolies are always government-regulated.

D) Monopolies have no barriers to entry.

Answer: B

14. Which of the following is an example of price discrimination?

A) Charging different prices based on the quantity purchased

B) Offering a discount for students

C) Selling a product at a fixed price across all markets

D) None of the above

Answer: B

15. The marginal cost curve intersects the average total cost curve at the

A) Minimum of the average variable cost curve

B) Minimum of the average total cost curve

C) Maximum of the marginal cost curve

D) Maximum of the average total cost curve

Answer: B

16. The Gini coefficient measures

A) Government spending

B) Income inequality

C) Unemployment rate

D) Market competition

Answer: B

17. What is a Pigovian tax?

A) A tax on luxury goods

B) A tax designed to correct negative externalities

C) A tax on corporate profits

D) A tax on income

Answer: B

18. Which of the following is an example of a negative externality?

A) Education

B) Pollution

C) Vaccination

D) Public transportation

Answer: B

19. The Coase theorem suggests that

A) Government regulation is the best solution for externalities

B) Private bargaining can solve externality problems without government intervention

C) Externalities cannot be resolved without taxes

D) Only the government can solve market inefficiencies

Answer: B

20. Which of the following is not a factor of production?

A) Labor

B) Capital

C) Government spending

D) Land

Answer: C

21. In economics, the term "marginal" refers to

A) The total value of a good or service

B) The change in a variable from an additional unit

C) The average value of a good or service

D) The total cost of production

Answer: B

22. Which of the following is a feature of oligopolistic markets?

A) Many sellers and many buyers

B) Few large firms dominate the market

C) No barriers to entry

D) Perfect competition

Answer: B

23. In the context of production, diminishing marginal returns occur when

A) The total output increases at a constant rate

B) The total output increases at a decreasing rate

C) The marginal product of labor increases

D) The average cost curve shifts up

Answer: B

24. Which of the following is an example of a public good?

A) A sandwich

B) National defense

C) A private parking lot

D) A concert ticket

Answer: B

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25. What is the effect of a price ceiling set below the equilibrium price?

A) Shortage

B) Surplus

C) No change

D) Price increases

Answer: A

26. Which of the following is true for a perfectly competitive market?

A) Firms have control over the price of their product.

B) There are many buyers and sellers, and products are identical.

C) Barriers to entry exist.

D) Firms maximize profit by setting high prices.

Answer: B

27. What is the primary goal of antitrust laws?

A) To increase corporate profits

B) To promote competition and prevent monopolies

C) To regulate prices in the market

D) To ensure high wages for workers

Answer: B

28. The law of diminishing marginal utility states that

A) As you consume more of a good, the total utility decreases.

B) As you consume more of a good, the additional satisfaction decreases.

C) Utility remains constant with increased consumption.

D) Marginal utility increases with consumption.

Answer: B

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29. In the case of a perfectly inelastic demand curve, the price elasticity of demand is

A) Zero

B) Infinity

C) One

D) Greater than one

Answer: A

30. Which of the following is an example of an externality?

A) The cost of production

B) The benefit of a new technology

C) A factory emitting pollution

D) A new government policy

Answer: C

31. A monopolist maximizes profit where

A) Marginal cost equals marginal revenue

B) Average cost equals price

C) Total cost equals total revenue

D) Marginal revenue equals average total cost

Answer: A

32. Which of the following is not a feature of a monopoly?

A) High barriers to entry

B) Single seller

C) Product differentiation

D) Lack of close substitutes

Answer: C

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33. What is the primary goal of a firm in a perfectly competitive market?

A) Maximize revenue
B) Minimize costs
C) Maximize profit
D) Maximize market share
Answer: C

34. The income elasticity of demand for a normal good is

A) Zero
B) Negative
C) Positive
D) Equal to one
Answer: C

35. Which of the following is a characteristic of monopolistic competition?

A) Few sellers
B) Homogeneous products
C) Differentiated products
D) Barriers to entry
Answer: C

36. The short-run supply curve for a firm in perfect competition is

A) The marginal cost curve above the average total cost curve
B) The marginal cost curve above the average variable cost curve
C) The average total cost curve
D) The marginal cost curve below the average variable cost curve
Answer: B

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37. Which of the following is a source of market power for a monopoly?

A) Homogeneous products

B) Many competitors

C) Barriers to entry

D) Freedom of entry and exit

Answer: C

38. Which of the following is a negative externality?

A) Education

B) Pollution

C) Public parks

D) Healthcare

Answer: B

39. The marginal product of labor is

A) The change in total output from an additional unit of labor

B) The total cost of hiring an additional worker

C) The total revenue from selling additional output

D) The cost of labor per unit of output

Answer: A

40. Which of the following would shift the supply curve for a good to the right?

A) An increase in the price of related goods

B) A decrease in input prices

C) A rise in taxes on production

D) A decrease in technological advancement

Answer: B

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41. Which of the following is an example of a positive externality?

A) Smoking
B) Pollution
C) Education
D) Traffic congestion
Answer: C

42. In the context of economics, utility refers to

A) The physical output of a good
B) The satisfaction or pleasure derived from consuming a good
C) The total cost of production
D) The quantity of goods produced
Answer: B

43. What is the purpose of the production possibilities frontier (PPF)?

A) To show the trade-off between two goods
B) To show how prices are determined
C) To show the demand for a good
D) To demonstrate market equilibrium
Answer: A

44. What happens to the supply curve if technology improves?

A) The supply curve shifts to the left
B) The supply curve shifts to the right
C) The supply curve becomes vertical
D) The supply curve becomes horizontal
Answer: B

45. Which of the following is an example of a price floor?

A) Minimum wage

B) Rent controls

C) Sales tax

D) Tax deduction on purchases

Answer: A

46. Which of the following would most likely cause a movement along the demand curve for a good?

A) A change in consumer income

B) A change in the price of the good

C) A change in the price of substitutes

D) A change in consumer preferences

Answer: B

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WhatsApp:

https://whatsapp.com/channel/0029VaODheTDp2Q8YVcoON2p

Second WhatsApp channel

channel on WhatsApp:

https://whatsapp.com/channel/0029VafvOcy90x2tPbUaX02I

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Passing criteria of this course

Letter Grade	Grade Points	Equivalent Percentage
A+	4.00	90-100
A	4.00	85-89
A-	3.66 - 3.99	80-84
B+	3.33 - 3.65	75-79
B	3.00 - 3.32	71-74
B-	2.66 - 2.99	68-70
C	2.00 - 2.65	61-67
D	1.00 - 1.99	50-60
F	0.00	00-49

Passing Criteria for a Course:

The passing criteria is defined in such a way that it ensures the student shall be consistent in his studies throughout the semester.
Therefore, for passing a course/subject, student shall fulfill the following:
a) Secure minimum 20% score in Formative Assessments/Mid terms
b) Secure minimum 20% score in Final Term Examinations.
c) Secure at least 40% marks in aggregate while fulfilling the above requirements

Course Selection and Credit Hours

Q: How do I select courses when the course selection is open?
A: Follow these steps:
1. Check the credit hours allowed by your university (e.g., 21, 18, or 15 credit hours).
2. Each subject typically has 3 credit hours.
3. Divide the total allowed credit hours by 3 to determine how many subjects you can select.
Examples:
21 credit hours = 7 su18 credit hours = 6 subjects
15 credit hours = 5 subjects
Remember, the university may allow different credit hours for each student, so check your specific allowance.
By following these steps, you can make informed decisions during course selection and manage your credit hours effectively.

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Advice

Hmaesha relax ho ke parha kryn panic mat hua kryn apky parents ky bohat khawab hoty hn wo pura krny ki puri koshish kea kryn kbi b ksi pe depend na kea kryn apko bs ak insan success kr saqta ha or wo insan ap khud hn apky elawa koi nahe ap bs koshish kryn Allah pak pe strong yakeen rakha kryn or mehnat krke sb Allah ke hawaly kr dea kryn everything is possible be brave be strong stay blessed
Hum insan hamesha moat se darty or bhagty hn or moat se bachny ki koshish krty hn jabke moat ny ana hi ana ha hum

moat se nahe bach saqty humy jahanam se bachny ki koshish krni chaheay hum jahanam se bach saqty hn
Insan ko 3 chezo se dar lagta ha Moat Risk/Dolat Ezat Shohrat Fame

Moat

Humy pta hona chaheay Moat tab ani ha jab Allah chahy us se pehly puri dunya bi ak tararf ho ke apko marna chahy to apka kuch nahe beggar saqti

Risk/Dolat

Risk Dolat sb Allah pak ke hath m ha puri dunya ak taraf b ho jay na apsy apka risk cheen saqti ha na de saqti ha Ye sirf ALLAh pak ky hath m ha

Izat Zilat shohrat Fame

Izat Zilat Sirf Allah de saqty hn puri dunya mel ke b apko zra brabr b demage nahe kr saqti Agr ALLAH

Apko izat dena chahay to puri dunya ak tararf ho ke b apko 1% b nuksan nahe pohancha saqti
Phr Dar ks bat ka ??????????????
Be brave be strong Just put your trust To ALLAH
Hamesha Confident or himat se raho kbi ksi k samne mat jhuko puri dunya mel k b apka kuch b nahe beggar saqti

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MY REQUEST FROM ALL OF YOU

ZB Request from All of you My family
Mjy ap sbki help or support ki zarort ha or wo ye k hum sb Mel kr Allah ka Quran ki Urdu translation logo tak pohanchy or Quran ko samjna asaaan kryn dosro k leay sb tak Allah ka Quran pohanchy it's my compaign hum log 70+ age k ho jaty hn phr b hmy namaz tak ki translation nahe pta hoti k hum Allah pak se

Kya Dua kr rhy hn so hum youngster's ko Mel kr puri takat or energy ke sath Allah ka Quran spread krna ha
Hum puri Koshish kr rhy hn k hum sb Mel k Quran ki translation or most important topics ko maximum share kry with translation hmara maksad Quran ko spread krna ha be a part of us
m apni pocket se ye sb kr rha ho Allah ka Quran spread krny k leay apne or mene sbny Marna ha ak din to q na Allah k leay Kuch kryn apni energies apni power ko bajay negative use krny k Allah k leay invest kryn khud ko be a part of us
Agr m 23 ki age m apny sare sources use kr rha ho pocket se heavy amounts give away kr rha ho Quran spread krny k leay to ap just share to kr saqty hn itna e krdyn

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Agr ap mujsy contact na kr sky too b ap jo b hn jaha bi hn waha Allah ka quran pheelay zada se zada with urdu translation jitni himat ha utna share kryn

MY Family

ust Relax and focus! Exams are not difficult. Put in your 100% effort and trust in Allah.

AL-Quran

"And indeed, with hardship comes ease." (Quran 94:5)
Remember, I'm here to support you! Stay brave and strong!"

May Allah bless you